

During midlife, people begin to estimate how much money they will need in order to sustain their standard of living in retirement. Granted, the estimate will be in rough form at best; however, it is a useful exercise.

Liability matching is a method of investing in which a person's asset allocation is matched to that person's future cash-flow needs. In other words, your portfolio is structured so that your investments match your retirement income needs. There are five basic steps in liability matching:

1. Estimate future living expenses. An estimate of future living expenses can be made by tracking current living expenses and making adjustments for expected changes to those expenses in the future. There are many different budgeting tools that can be found on the Internet and in books that can help you with a personal cash-flow analysis. You could also hire a professional financial planner to help you put those estimates together.
2. Estimate sources of noninvestment income during retirement. Sources of noninvestment income include Social Security and pension income. They do not include income from retirement accounts or personal savings.
3. Compare your noninvestment income to your expected living expenses during retirement. If there is an income gap, it will need to be filled with investment income.
4. Determine how much you need to accumulate to fill the annual income gap. Expect that you can withdraw a maximum of 5 percent from your investments, which means that you will need about 20 times the annual amount of income. For example, if you need an extra \$12,000 per year in income, your portfolio at retirement should be at least \$240,000.
5. Design, implement, and maintain a savings and investment plan that has the highest probability of growing your portfolio to the amount needed at retirement with minimum risk. Asset allocation is a major part of that investment plan.

These steps are a synopsis of the liability-matching process. To gain a more detailed understanding, acquire a copy of my previous book,